

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-20

INTERNATIONAL EXPRESS TRUCKING, INC.,

COMPLAINANT,

v.

COSCO SHIPPING LINES CO., LTD. And
COSCO SHIPPING LINES (NORTH AMERICA) INC., as agent for
COSCO SHIPPING LINE CO., LTD.,

RESPONDENTS.

NOTICE OF ERRATA

Complainant International Express Trucking, Inc. (“IXT”) through counsel respectfully submits this Notice of Errata to substitute “Cosco Shipping Lines (North America) Inc.” (“Respondent-Agent”) from the previous designation of “Cosco Shipping (North America) Inc.” in the Complaint. An errata containing a revised complaint with Respondent-Agent correctly identified is attached herewith.

As identified by Your Honor at the December 12th hearing, several other names for the Respondent-Agent have been used in this proceeding:

- Cosco Shipping (North America), Inc. *See* Complaint; CSLNA Mem. in Support of Mot. to Dismiss (caption); CSLNA Reply to Complainant’s Opp. to Mot. to Dismiss (caption).
- COSCO Ocean Shipping Lines (North America), Inc. *See* CSLNA Mem. in Support of Motion to Dismiss at 1.

- Cosco Shipping Line (North America) Inc. *See* CSLNA Reply to Complainant’s Opp. to Mot. to Dismiss at 1.

On December 17, 2024, Respondent-Agent filed a Praecipe to Correct Respondent’s Name in which it identified “Cosco Shipping Lines (North America) Inc.” as the correct name for an erroneous previous reference to “Cosco Ocean Shipping Lines (North America) Inc.” in its Motion to Dismiss.

Thus, based on the representation of Respondent’s counsel that Cosco Shipping Lines (North America) Inc. is the U.S. general agent of Cosco Shipping Lines Co., Ltd., IXT submits this Notice of Errata and attached Errata containing a substitute Complaint with the correctly identified party. This is also the name listed on the Statement filed as Attachment A to IXT’s Complaint, which nowhere identifies Cosco Shipping Lines (North America) Inc. as an agent. Instead, the Statement lists “**CARRIER: COSCON**” (seemingly a reference to Cosco Shipping Lines (North America) Inc.) and provides that payment should be made directly to Cosco Shipping Lines (North America) Inc.

WHEREFORE, IXT respectfully submits this Notice of Errata and substitute Complaint with correctly identified parties.

December 20, 2024

Respectfully submitted,



Brendan Collins

Rachel Amster

GKG LAW, P.C.

1055 Thomas Jefferson Street, NW Suite 620

Washington, DC 20007

Telephone: 202-342-6793

Facsimile: 202-342-5299 Email:

bcollins@gkglaw.com

ramster@gkglaw.com

*Attorneys for Complainant International Express
Trucking Inc.*

ERRATA

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. _____

INTERNATIONAL EXPRESS TRUCKING, INC.,

COMPLAINANT,

v.

COSCO SHIPPING LINES CO., LTD. and
COSCO SHIPPING LINES (NORTH AMERICA) INC., as agent for
COSCO SHIPPING LINES CO., LTD.,

RESPONDENTS.

COMPLAINT

Complainant International Express Trucking, Inc. (“Complainant” or “IXT”), by its undersigned attorneys, files this Complaint against Respondents herein, alleging violations of the Shipping Act of 1984, 46 U.S.C. § 401010, *et. seq.* (the “Shipping Act”) as follows:

I. COMPLAINANT

1. Complainant IXT is a corporation organized and existing under the laws of the State of Kansas with a principal place of business at 3359 Brinkerhoff, Kansas City, Kansas 66115.

II. RESPONDENTS

2. Respondent COSCO Shipping Lines Co., Ltd. (“COSCO”) is a corporation organized under the laws of China. COSCO’s corporate headquarters is located at No. 378, Dong Da Ming Road, Shanghai, China. COSCO is an ocean common carrier conducting business in the United States through Respondent COSCO Shipping Lines (North America) Inc. (“COSCO America”).

COSCO America's principal place of business is located at 100 Lighting Way, 3rd Floor, Secaucus, New Jersey 07094. COSCO was at all times pertinent to this complaint an ocean common carrier within the meaning of the Shipping Act, 46 U.S.C. § 40102(7), subject to regulation by the Federal Maritime Commission ("FMC").

III. JURISDICTION

3. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act of 1984, as amended.

4. This Complaint is being filed pursuant to Section 11(a) of the Shipping Act, 46 U.S.C. § 41301. IXT is seeking reparations for injuries caused to it by Respondents due to their violations of 46 U.S.C. § 41102(c).

5. The FMC has personal jurisdiction over COSCO as a "common carrier" as defined in 46 U.S.C. § 40102(7).

6. Respondent's actions alleged herein constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property, in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§545.4 and 545.5.

IV. FACTUAL ALLEGATIONS

7. IXT is a motor carrier registered with the Federal Motor Carrier Safety Administration, that provides motor carrier transportation services.

8. Between 2022 and 2023 COSCO issued invoices to IXT for per diem charges amounting to \$75,725.00. See Exhibit A.

9. The invoices reflected in Exhibit A did not contain all of the following information: (1) Date that container is made available; (2) The port of discharge; (3) The container number or numbers; (4) For exported shipments, the earliest return date; (5) The allowed free time in days; (6) The start date of free time; The end date of free time; (7) the applicable detention or demurrage

rule on which the daily rate is based; (8) The applicable rate or rates per the applicable rule; (9) The total amount due; (10) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees; (11) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage; (12) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges.

10. The invoices reflected in Exhibit A were also issued in situations involving: (1) lack of chassis availability, (2) unavailable return appointments; and/or (3) congestion.

11. COSCO Invoice # HOU00069003 includes charges for containers which could not be returned due to weather conditions. COSCO agreed to waive charges related to the weather conditions in an email dated June 23, 2022. However, COSCO has never waived the charges in this invoice.

12. The invoices listed in Exhibit A have been the topic of numerous communications between IXT and COSCO. Notwithstanding IXT's numerous complaints relating to each invoice raising the above discussed issues, COSCO has refused to waive the charges. COSCO has further threatened to discontinue service for IXT.

V. VIOLATIONS OF THE SHIPPING ACT

13. Section 41102(c) of the Shipping Act (46 U.S.C. § 41102(c)) prohibits a common carrier or marine terminal operator from failing to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

14. Respondent COSCO is an ocean common carrier as defined by the Shipping Act.

15. Respondents' practices and regulations relating to the assessment of per diem charges are directly related to receiving, handling, storing, or delivering property, are occurring on a normal, customary, and continuous basis, and are unjust and unreasonable.

16. Respondent has failed to establish and observe just and reasonable practices in violation of § 41102(c) by failing to issue invoices which do not comply with OSRA 2022's requirements; for charging per diem which were caused by conditions beyond complainant's control; for refusing to waive these charges; and for threatening to discontinue service on the basis of the unpaid per diem charges.

17. Respondent failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing detention charges that serve no incentivizing principle and do not promote freight fluidity.

18. Respondent failed to establish and observe just and reasonable practices in violation of § 41102(c) by refusing to extend free time and/or waive or reduce per diem charges for containers, which were rejected for return by the designated termination location.

VI. CAUSATION AND INJURY TO COMPLAINANT

19. As a result of Respondents' violations of the Shipping Act, the Complainant has sustained injuries and damages in the amount of \$75,725.00.

VII. ALTERNATIVE DISPUTE RESOLUTION

20. IXT has made numerous unsuccessful attempts to resolve this matter with COSCO prior to filing this Verified Complaint. IXT has been in direct communication with COSCO since 2022 and has communicated with COSCO through counsel for several months. IXT send a demand letter to COSCO relating to these in February 2024. COSCO has persisted in its refusal to waive the per diem charges which are the subject of this Complaint. Because COSCO has failed to respond to these requests, IXT did not seek to use the FMC's alternative dispute resolution

procedures prior to filing this Verified Complaint. For the same reasons, Complainant has not had any preliminary consultations with the FMC's Dispute Resolution Specialist regarding the availability of alternative dispute resolution (ADR) under the FMC's ADR program, 46 C.F.R. § 502.64.

VIII. PLACE OF HEARING

21. Complainant requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol St., NW, Washington, D.C. 20573-0001.

IX. PRAYER FOR RELIEF

WHEREFORE, Complainant respectfully requests that Respondents be required to answer the charges in this Complaint, and that after the Commission's investigation and hearing, the Commission issue an order:

- 1) Requiring Respondent to pay Complainant reparations for the unlawful conduct described herein, along with interest and Complainant's attorneys' fees and costs pursuant to 46 U.S.C. 41305;
- 2) Requiring the payment of any other amounts that the Commission deems appropriate; and
- 3) Providing such other and further relief that the Commission deems just and proper.

May 7, 2024

Respectfully submitted,



Brendan Collins
Rachel Amster
GKG LAW, P.C.
1055 Thomas Jefferson Street, NW
Suite 620
Washington, DC 20007
Telephone: 202-342-6793
Facsimile: 202-342-5299
Email: bcollins@gkglaw.com
ramster@gkglaw.com

*Attorneys for Complainant
International Express Trucking Inc.*

VERIFICATION

I, Kristen Burkett, am the Chief Operating Officer of Complainant International Express Trucking, Inc. and hereby declare and attest under penalty of perjury that I have read the forgoing Verified Complaint and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

Dated: May 7, 2024:

A handwritten signature in black ink, appearing to read "Kristen Burkett", written over a horizontal line.

EXHIBIT A

Statement

COSCO SHIPPING Lines (North America) Inc.

North America Operation Center

15600 JFK BLVD, Suite 400, Houston Texas 77032
Toll Free Phone No: 866-830-2550; FAX No: 281-765-6881
For inquiry: <http://support.cosco-usa.com/support/home>
E-Mail for dispute: shaperdiem@coscon.com

CARRIER: COSCON

PAYMENT DUE NET 30 DAYS
IXPT
International Express Trucking
Incorporated
3359 Brinkerhoff Road Kansas
City Kansas 66115

Invoice #	AR Amount	Balance Amount Due	Invoice Issue Date	Number of Days Outstanding
HOU00069003	USD 14505.00	USD 14505.00	16 Mar 2022	578
HOU00244284	USD 1025.00	USD 1025.00	03 Aug 2022	438
HOU00244660	USD 125.00	USD 125.00	03 Aug 2022	438
HOU00244822	USD 1885.00	USD 1885.00	03 Aug 2022	438
HOU00246119	USD 305.00	USD 305.00	03 Aug 2022	438
HOU00246625	USD 485.00	USD 485.00	03 Aug 2022	438
HOU00247424	USD 125.00	USD 125.00	03 Aug 2022	438
HOU00248083	USD 2410.00	USD 2410.00	03 Aug 2022	438
HOU00250005	USD 125.00	USD 125.00	03 Aug 2022	438
HOU00250079	USD 1150.00	USD 1150.00	03 Aug 2022	438
HOU00253581	USD 845.00	USD 845.00	17 Aug 2022	424
HOU00253583	USD 305.00	USD 305.00	17 Aug 2022	424
HOU00253584	USD 125.00	USD 125.00	17 Aug 2022	424
HOU00253586	USD 540.00	USD 540.00	17 Aug 2022	424
HOU00253587	USD 665.00	USD 665.00	17 Aug 2022	424
HOU00253588	USD 860.00	USD 860.00	17 Aug 2022	424
HOU00253589	USD 1025.00	USD 1025.00	17 Aug 2022	424
HOU00253591	USD 1620.00	USD 1620.00	17 Aug 2022	424
HOU00253593	USD 1080.00	USD 1080.00	17 Aug 2022	424
HOU00253595	USD 1260.00	USD 1260.00	17 Aug 2022	424
HOU00253596	USD 4030.00	USD 4030.00	17 Aug 2022	424

HOU00253598	USD 1745.00	USD 1745.00	17 Aug 2022	424
HOU00253602	USD 665.00	USD 665.00	17 Aug 2022	424
HOU00253603	USD 665.00	USD 665.00	17 Aug 2022	424
HOU00253606	USD 720.00	USD 720.00	17 Aug 2022	424
HOU00253607	USD 900.00	USD 900.00	17 Aug 2022	424
HOU00253717	USD 1620.00	USD 1620.00	17 Aug 2022	424
HOU00260233	USD 845.00	USD 845.00	31 Aug 2022	410
HOU00260399	USD 180.00	USD 180.00	31 Aug 2022	410
HOU00260610	USD 125.00	USD 125.00	31 Aug 2022	410
HOU00262085	USD 125.00	USD 125.00	31 Aug 2022	410
HOU00263515	USD 485.00	USD 485.00	31 Aug 2022	410
HOU00263679	USD 360.00	USD 360.00	31 Aug 2022	410
HOU00264448	USD 125.00	USD 125.00	01 Sep 2022	409
HOU00264555	USD 6025.00	USD 6025.00	05 Sep 2022	405
HOU00269598	USD 1025.00	USD 1025.00	15 Sep 2022	396
HOU00273477	USD 4085.00	USD 4085.00	28 Sep 2022	382
HOU00273946	USD 665.00	USD 665.00	28 Sep 2022	382
HOU00274916	USD 1440.00	USD 1440.00	28 Sep 2022	382
HOU00275336	USD 1565.00	USD 1565.00	28 Sep 2022	382
HOU00276332	USD 845.00	USD 845.00	28 Sep 2022	382
HOU00282311	USD 305.00	USD 305.00	11 Oct 2022	369
HOU00284708	USD 305.00	USD 305.00	11 Oct 2022	369
HOU00285240	USD 13445.00	USD 13445.00	11 Oct 2022	369
HOU00285822	USD 2340.00	USD 2340.00	11 Oct 2022	369
HOU00364689	USD 625.00	USD 625.00	30 Aug 2023	46
Total AR Amount: USD 75725.00 Total Balance Amount Due: USD 75725.00				

Remarks:

Remit Payment To COSCO SHIPPING LINES

North America Inc.

9659 N. Sam Houston Parkway

East, Suite 150 #240 Humble, Texas 77396

Please provide your Per Diem Remittance detail with payment:

- Remittance detail should be sent directly to: perdiem@cosco-usa.com or submit a Cosco Shipping Fresh Desk support ticket <https://support.cosco-usa.com/support/tickets/new>

- Please put Company's name with total payment amount on the subject line. Payment Details should include (Invoice number, B/L Numbers or Contract Number etc.) in the body of the email.

- NOTE: COSCO SHIPPING WILL APPLY YOUR PAYMENT TO THE OLDEST OUTSTANDING PER DIEM INVOICE IF THE PAYMENT IS RECEIVED WITHOUT A REMITTANCE.